UPDATES

Below please find a summary of updates for the Flex NonQM and DSCR Matrices and Guidelines. These updates must be implemented for all applications and locks as of **February 13, 2026.**

GUIDELINES AND MATRICES – Updated as follows:

- **Flex Supreme**
  - 30 year IO added
  - Interest Only restrictions have been reduced. Follow the matrix for the maximum LTV.
  - Standardized max cash back between Supreme and Select to: <= 70%: Unlimited and > 70%: $1,000,000 or unlimited with 18 months of reserves exclusive of cash back.
  - Added in maximum loan amount of $1,500,000 for a First Time Homebuyer to align with Select.
  - Asset Utilization Updates:
    - Removed the requirement to reduce the allowable LTV for asset utilization. Follow the matrix for the permitted Max LTVs.
    - Crypto-currency is permitted using a 60% valuation requirement. See guidelines for further details.
  - Removed the First Time Homebuyer and LTV restrictions for 2-4 Unit properties. Follow the matrix for the permitted Max LTVs.
  - Updated LTVs on Warrantable Condos.
  - Rural properties are now permitted on Primary and Second Homes to 80% and on investment properties to 75%.
  - Max 20 acres permitted for a Primary and Second Home and max 5 acres permitted for an investment property.
- **Flex Select**
  - 30 year IO added
  - Interest Only permitted to 55% DTI; must be qualified using fully amortizing payment.
  - Minimum loan amount lowered to $100,000 to line up with Supreme.
  - Standardized max cash back between Supreme and Select to: <= 70%: Unlimited and > 70%: $1,000,000 or unlimited with 18 months of reserves exclusive of cash back.
  - Added clarity to the Tradelines portion of the matrix referencing options for borrowers with Limited Tradelines and for Non-Permanent Residents qualifying with non-traditional credit.
  - Asset Utilization updated to allow crypto-currency using a 60% valuation. See guidelines for further details.
- **Flex Select DU**
  - Removed specific reserve requirements for loan amounts > $2,000,000 since program is capped at $2,000,000.
- **ITIN**
  - Clarified that an ITIN borrower may be qualified under the Foreign National Matrix when qualifying with a Foreign National borrower.
  - Clarified that at one borrower must be either an ITIN or DACA Borrower.
  - Clarified max LTVs on Condos.
- **Foreign National**
  - Added clarification to the matrix that borrowers and guarantors from OFAC sanctioned countries are ineligible. This requirement was already located in the guidelines and is not a change.
  - Removed the documentation requirements from the Matrix. Refer to the

guidelines for details.
  - Removed the requirement for Foreign Credit to be established. Qualification is now based on the borrower either having a US Credit score or having no US Credit Score.
  - Housing History is evaluated when evident on the US Credit Report; otherwise housing history is not required to be documented.
  - PITI payments must be included in the DTI on full and alt doc loans, unless evidence is provided to support taxes and/or insurance doesn't exist and that the property is free and clear.
  - Removed the specific requirement for a certified translator to translate documents not in English. The requirement is now that documents not in English must be translated. Tools such as Google Translator, or similar options, may be used.
- **DSCR Supreme**
  - Clarified that it is acceptable for recently constructed properties to be vacant. Evidence property is listed for rent is required.
  - If using a lease to qualify that is higher than the market rents, evidence of 2 months of receipt of the rental income is required. Rents cannot be prepaid to meet the 2 month requirement. The 120% cap on the rental amount on the lease over market is being removed with this change.
  - It's acceptable for a maximum of one unit in a 2-4 unit property to be vacant on a refinance transaction provided the unit is rent ready, listed for rent, and 75% of the market rent is used for qualifying.
- **Investor DSCR**
  - There is no longer an LTV reduction for housing events 2+ years out.
  - Clarified that it is acceptable for recently constructed properties to be vacant. Evidence property is listed for rent is required.
  - If using a lease to qualify that is higher than the market rents, evidence of 2 months of receipt of the rental income is required. Rents cannot be prepaid to meet the 2 month requirement. The 120% cap on the rental amount on the lease over market is being removed with this change.
  - It's acceptable for a maximum of one unit in a 2-4 unit property to be vacant on a refinance transaction provided the unit is rent ready, listed for rent, and 75% of the market rent is used for qualifying.
- **DSCR Multi & Mixed**
  - Clarified that all borrowers must meet the minimum score requirement of 720, including Foreign National Borrowers.
  - Property types are restricted to 5-8 unit residential properties only.
  - Mixed Use 2-8 Unit properties are no longer being offered. Locks will be permitted through 2/27/2026 and closed loans must be delivered for purchase by 4/15/2026.
  - Program is being renamed to DSCR Multi (5-8 Units).
- **Second Lien Select**
  - Program is now available in all channels.
- **Geographic Restrictions**
  - Brooklyn Properties are now permitted on Investment properties with the following caveats:
    - In Wholesale, Transferred Appraisals are not permitted
    - All Transactions will require a field review*.
  - Properties located in Memphis, TN require a field review*
  - * Correspondent Clients must provide the field through an AMC other than the one used for the Original Appraisal.
- **Escrow Waivers**
  - Clarified that borrowers who own their property free and clear or who are

living rent free meet the housing history requirements for escrow waivers.

- **Escrow Holdbacks**
    - Clarified for Correspondent Clients that new construction purchases where the landscaping and final grading are not yet complete due to weather constraints, loans will be purchased prior to the final work being complete. In those instances, the final inspection is to be delivered upon completion.
- **Non-Permanent Residents**
    - Added reference to the US Government's Interim Final Rule on the Removal of the Automatic Extensions of certain EADs.
- **Co-Signers**
    - Co-borrowers may act as co-signers on primary residences only and are not required to take title to the property.
- **Entity Vesting**
    - In the scenario where a property is owned 50%/50% by two members, but only one member is an authorized signer credit qualifying for the loan, the second member is not required to execute a guaranty.
- **Foreign Credit**
    - Section has been eliminated.
- **Incomplete Housing History and Rent Free (DSCR and Non-DSCR)**
    - These sections have been combined with the Housing History Verification Sections for simplicity.
- **Past Due Accounts – Updated as follows:**
    - Added Investor No Ratio requirement to the guideline for an LOE on all derogatory revolving and installment accounts 60 days delinquent within 4 years of closing. Requirements were already present on the Matrix.
- **Alt Doc – Bank Statement Income – Large Deposits updated as follows:**
    - When using Business Bank Statements, only large deposits greater than 50% of the average gross deposits over a 12 or 24 month period which appear unusual, inconsistent, or non-business related must be sourced or excluded.
    - No change when using Personal or Co-Mingled Statements.
- **Rental Income on Alt Doc Loans**
    - Clarified that rental income from a departure residence can be used with a lease provided the lease is confirmed to be at market rate and a 25% expense factor is applied.
- **Short Term Rentals (Non DSCR)**
    - Clarified available for both purchase and refinance transactions.
- **Foster Care Income**
    - Aligned with FNMA.
- **Notes Receivable**
    - Updated the guideline to allow for notes receivable income received for six months or greater to be used for qualifying purposes.
- **Assets**
    - Clarified that large deposits on business accounts are not required to be sourced when those funds are being used for assets.
    - Clarified when business assets are from the entity holding title to the property, the entire balance of the assets may be used for qualifying, and an access letter is not required.
- **Reserves**
    - Clarified that reserves are for the subject property housing expenses only.
- **Appraisal Review Process**
    - Clarified that the Appraisal Review Process establishes the minimum requirements for loan delivery. We encourage our business partners to use all available tools and resources to ensure the property value is well supported

prior to delivery. NQM Funding reserves the right to request additional appraisal products based on a comprehensive review of the appraisal, market data, and the loan file.

- **Transferred Appraisals**
  - Not permitted on Investment Properties in Brooklyn, NY or on any occupancy type in Memphis, TN.
- **Appraisal Review – DSCR Multi**
  - Added the availability to use a field review for the Appraisal Review Product options.
- **Property Condition**
  - DSCR Properties are expected to be free of deferred maintenance.
- **Additions without Permits**
  - Clarified that while the addition may not have been permitted, the property usage must conform to zoning laws and/or regulations.
- **Multiple Dwellings on One Lot**
  - Updated to clarify if 2 or more similar comps are provided, property may be considered.
  - Aligned with Accessory Dwelling Units section of the guide.
- **Rural Properties**
  - Added clarification that websites such as the below will be used to determine if property should be analyzed as rural. See guide for more details.
    - https://www.consumerfinance.gov/rural-or-underserved-tool/
  - Clarified that properties must be suitable for year round occupancy
  - Updated the acreage requirements for full and alt doc investment properties so it is consistent between the matrices and guidelines.
- **Property Types**
  - Added Container Homes as an unacceptable property type.
- **Condo**
  - Clarified that rental pooling would render a condo ineligible.
- **Hazard Insurance**
  - Clarified that a binder will not have a policy number included.